

SERVICES CONTRACT SIGNINGS AND BACKLOG REPORTING

AUDIT PROGRAM #60-05-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events in order to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
June 2025	Planning	Risk Alignment	Jen Daniels	Consolidated redundant risk areas and re-evaluated risk levels across 3 LOD
May 2024	NA	NA	Wolfgang Stengel	Annual validation
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

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PROCESS AND OBJECTIVE

For the purposes of this audit program, Services Contracts Signings and Estimated Backlog Reporting (SBL) is defined as the process of reporting revenue that IBM expects to yield from customer commitments (contracts). They are key headlight metrics into the health of IBM's revenue growth. Signings is defined as the customer commitment related to a Services contract (defined as TCV, or Total Contract Value, for purposes of this document). Estimated backlog should reflect the products and services amounts that are expected to be recognized as revenue in the following quarters / years. Estimated backlog is defined as the total signings recorded for the contract less already recognized revenue and plus / less any backlog adjustments. Both views should be consistent. As a general rule, the process cycle starts when an eligible signing is registered in the contract registration system and ends when IBM reports these numbers externally each quarter.

The SBL audit process includes primary testing on the validity of the signings and the estimated backlog reported. The process is dependent on the contract registration process and the revenue recognition process.

An auditable unit for SBL may be a specified Business Unit, a Market, or a Geography. The Remaining Performance Obligation (RPO) section is performed at the worldwide level and only tested in conjunction with a Signings and Backlog audit of the relevant North America auditable unit. The remaining sections address the implementation of the worldwide design and are performed in the organizations that execute the signings and backlog process.

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PLANNING: Audit Program Risk Alignment

Services Contract Signings and Backlog Reporting

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Signings Recognition	High	Signings Recognition and Backlog Estimation	SR001.P
Signings and Backlog Adjustments	High	Signings Recognition and Backlog Estimation	SR001.P
Signings and Backlog Certification	Medium	Signings Recognition and Backlog Estimation	SR001.P
Remaining Performance Obligation (RPO)	Low	Remaining Performance Obligation	RP001.P [NA only]

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PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The [Data Analysis engagement procedures in the Audit Manual](#) (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Universe of all signings recognized during the audit period.	Identify those contracts with signing dates close to quarter end date. Verify that the contract signatures were not back-dated to quarter-end date. Verify that all Accounting reviews which can impact signings value, including revenue splitting, revenue sharing, any assessment for bundled deal (as applicable), were obtained. Verify that all non-standard contract terms which can impact signings value, were identified and signings were calculated correctly.	Signings were recognized prematurely and before the contract was signed. Verify signings were recognized according to applicable Accounting ruling and in line with the WW S&BL Guidelines.	Signings were pulled forward to boost the quarter signing achievement, or recorded without relevant Accounting review, resulting in overstatement or misstatement of the quarter signing.

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PLANNING: Data Analysis (Continued)

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Universe of signings containing OEM HW/SW or third-party subcontractors.	Identify those signings containing OEM SW/HW less than \$100k and verify that they were recognized as net signing. For those containing third party subcontractors, verify that the signing was in accordance with Accounting decision on gross versus net.	Verify that signings with OEM HW/SW less than \$100k were recognized as net signing (revenue less cost). Verify that third party subcontractor element were recognized as net where Accounting had given a net ruling.	Signings were not recognized in accordance with the guidance, resulting in overstatement of signing.
Universe of active contracts without financial activities (revenue or cost) in the last 180 days.	Determine whether the reasons for not closing the contracts on CFTS/SAP were justified. When did services activities on these accounts cease? Check labor claiming. Reconciliations should have been performed and contract closed on CFTS/SAP in order to reverse signings /adjust backlog equal to the amount of TCV that had not materialized.	Contracts remaining active on contract management system when they should have been closed (all services had been performed and fulfilled). Contracts not being closed on CFTS/SAP promptly.	Overstatement of backlog (revenue to come) and possible overstatement of signing.
Universe of manual backlog adjustments.	Verify the validity of the backlog adjustments and ensure that they were processed promptly and in the correct quarter.	Delays in processing backlog adjustments.	Overstatement of backlog as a result of delays in processing backlog adjustment.
Universe of signings manually recognized.	Identify those signing entries that were not signings = revenue. Verify that there were valid reasons for recognizing these signings prior to the contract being loaded on CFTS/SAP. In addition, verify that they were approved by management.	Signings were recognized without proper validation.	Signings process was not being followed in order to recognize signings in the quarter.

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PLANNING: Data Analysis (Continued)

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Universe of terminated or cancelled contracts during the audit period.	Determine when the contract was terminated or cancelled by checking against the customer's notice to terminate or cancel and compare this date to the date the contract was closed on CFTS/SAP. Verify that where the contract was terminated or cancelled within 2 quarters of signing date, that signing reversals had been recorded.	Contracts were not closed on CFTS/SAP or were not closed promptly and signing or backlog had not been adjusted to reflect the termination or cancellation.	Overstatement of backlog and possible signing overstatement.
Universe of Remaining Performance Obligation (RPO). [Note: Applies to NA Geo only]	Verify contracts included in RPO disclosure, existed, exceeded one year duration, and were active on CFTS/SAP. Verify designated exclusions were not counted in the RPO disclosure.	Contracts where work had not yet begun and where both IBM and the customer can terminate without penalty were included in the RPO disclosure. Exclusions including framework agreements were included in the RPO disclosure.	Overstatement of RPO.

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PLANNING: Reference Material

WW Services Signings & Backlog Community

<https://w3.ibm.com/w3publisher/services-ww-signings-and-backlog>

WW Signings & Backlog Guidelines

<https://w3.ibm.com/w3publisher/services-ww-signings-and-backlog/s-bl-guidelines>

Currency Exchange Rates

<https://w3.ibm.com/w3publisher/currency/monthly-exchange-rates>

List of Externally Reported Units/Divisions for Revenue Splitting

<https://w3.ibm.com/w3publisher/ww-revenue-splitting/processes-guidance-templates/externally-reported-units-list>

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PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
For Time and Material contracts, inflate the estimate of efforts required (TCV) in order to take higher signing value.	Pricing release and CRM mandatories. Management reviews and monitoring of pricing case against expected revenue and gross profit, and of actual hours expended against estimated hours stated in the contracts.	Obtain a universe of T&M contracts. Identify contracts where actual revenue booked were significantly less than TCV and determine whether the justification was reasonable. Historically, had this customer consistently spent less than TCV?
Not reporting contract cancellations or reductions in TCV that occurred within two quarters from signing date promptly.	Management review of backlog adjustments.	Obtain a universe of contracts that had no financial activities for 180 days or more. • Verify whether the contract was closed on the contract management system (CFTS/SAP), if not, determine whether the justification for not closing was reasonable. • If closed, compared the date the contract was closed on CFTS/SAP with the date it should be closed, and determine whether the delay had caused signing overstatement.
Present re-negotiated contracts as if it were a win-back contract and giving it a new contract number.	Signing validation process.	For signings reported as win-back contracts, obtain evidence of the customer's notice to terminate the old contract. Check that the termination letter was dated prior to the signing of the new contract. To count as a new signing, there must be a termination letter, and it must be dated prior to signing of the new contract.

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PLANNING: Fraud Template (Continued)

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
Back-dating customer signatures to meet quarterly measurements or recognizing signing manually prior to contracts being loaded on the contract management system (CFTS/SAP).	Customer Fulfilment process which requires evidence of countersigned contracts to be provided prior to loading on contract management system CFTS/SAP. Management exception approval is obtained before the signing is recognized manually and before the contract is loaded on CFTS/SAP.	Review email communication before and after contract signature, manual edits to contract signature dates, data provided in the pricing documentation.
Not reporting pass-through or gross v net situations for Accounting review.	Finance and Accounting reviews should highlight pass-through and gross v net situations.	Review contracts that involve purchase of services, software license, or OEM SW/HW from third party, and verify that accounting reviews had been performed.
Not submitting applicable checklists for Accounting review.	Finance and Accounting reviews should highlight correct revenue treatment to be followed, and necessary approvals obtained before the signing is recognized.	Ensure that information/checklists sent to Finance and Accounting for review is accurate and enables Accounting to make a fully informed judgement and signings recorded correctly.

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Signings Recognition and Backlog Estimation

Objective:

Was the signing correctly calculated and in accordance with the signing recognition guidance?

Was the backlog calculated correctly and in accordance with the backlog estimation guidance?

Were reported signing and backlog supported by firm evidence?

Were the residual TCV (the portion of TCV that did not materialize) identified and the adjustment processed promptly?

Given that we report an estimated backlog, minor backlog variations may occur with an acceptable range of +/- 0.5% between certified backlog and reported backlog. Any delta higher than this, is required to have Geo CFO approval and action plan to reduce the delta and prevent reoccurrence, submitted to the Worldwide SBL Process Owner.

Risk/Exposure:

Because of the reliance placed on signings reporting by the investing community, it is critical that the signings recognition and backlog estimation process contain valid contracts that are properly valued in the correct time period. Failure to follow the process could severely impact investor relations.

Scope Guidance:

North America

The Remaining Performance Obligation (RPO) responsibilities are owned at the worldwide level as part of Signings Recognition and Backlog Estimation reporting. This scope area may be covered as part of an end-to-end audit of Signings and Backlog in North America. However, it should be considered when RPO was last reviewed, as it does not need to be included in each audit in North America.

All other Geographies

It is not practical to include RPO as a scope item within any other Market / Business Unit audit as it is performed by IBM Consulting at worldwide level only.

SERVICES CONTRACT SIGNINGS AND BACKLOG REPORTING

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Signings Recognition and Backlog Estimation

Primary Test: Signings Recognition and Backlog Estimation (SR001.P)

Note: Because of the sensitivity of the data, any findings in this area should be considered strictly IBM confidential

Objective:

Determine if the contract was properly reported in the signings recognition and backlog estimation process.

Approach:

Signings Recognition

Obtain the signing and backlog as reported in the quarterly GEO CFO certification. Compare the reported signing value to the value as determined by using the WW IBM Services Guidance for Signings Recognition and Backlog Estimation that was current during the audit period.

To calculate the signing amount as determined by the WW IBM Services Guidance for Signings Recognition and Backlog Estimation, obtain the version of the guidance that was current during the audit period and all the supporting documentation related to the signing being reviewed. The documentation should include a copy of the countersigned contract showing the Total Contract Value (TCV), the previous or associated change amendment, approved final pricing case and pricing releases, the Signing Form completed by Finance and Planning (F&P), and where appropriate, the Accounting decision on Gross vs. Net. The TCV is related to services contracts only and should exclude any maintenance and hardware/software sales for which no services revenue is recorded. Apply the rule to the contract and compare the resulting value to the reported signing value.

The execution of a contract is generally recognized as a signing when all of the following core elements are established:

1. a fully executed, unconditional contract,
2. a total contract value ("TCV") that is either clearly stated in the agreement or readily determinable based on the charges and volumes set out in the contract, and
3. evidence of the client's commitment to the transaction supporting a reasonable expectation that the anticipated TCV will be recognized as IBM Services Revenue during the contract's term.

If these criteria are not met, signings will be recognized as revenue (i.e., "S=R").

Compare the contract signature date (latter of IBM or customer's signature dates) with the date the contract was posted into the contract management system (e.g., CFTS, SAP or equivalent). The dates should be in the same quarter. In addition, check if planned contract start date is within two full quarters after the quarter in which contract signature occurred.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Signings Recognition and Backlog Estimation

Primary Test: Signings Recognition and Backlog Estimation (SR001.P)

(Continued)

Other specific items to verify during the testing:

1. A. Signings are registered on the contract management system (CFTS/SAP) with evidence of a countersigned contract, an approved and final version of the pricing case and pricing release, adequate client commitment in line with Appendix A of the WW IBM Services Guidance for Signings Recognition, and a completed Signing Form from Finance and Planning, and where Other Equipment Manufacturer (OEM) and third-party services are included in the contract, the Accounting decision on Gross vs. Net.

Non-standard contract terms should be identified by opportunity owners as part of the review by Finance & Planning on signings recognition. Non-standard terms can include period specific Time and Material (T&M)/Price x Quantity (PxQ) contracts, payment terms, centralized billings, contracts requiring purchase orders (PO Driven customers), interim contracts, and termination charge/fee coverage.

2. Other Equipment Manufacturer (OEM).
Verify that, at a transaction level, a contract or change amendment containing OEM less than \$100,000 has been recognized as a net signing, unless an unmodified accounting template has been used. Net signing means revenue less cost.

Gross vs. Net Clip Level Identification and Review Guidance

Non-Logo Hardware and Software ("OEM") (includes PCR's)

- a. Automatic Gross Revenue Treatment: Any Accounting approved unmodified template that has been reviewed and approved as gross treatment by the Geography Accounting team regardless of amount.
- b. Automatic Net Revenue Treatment: All OEM Hardware and Software under \$100K that is not an accounting approved unmodified template.

Any contract or change amendment transaction with OEM content greater than \$100K must be reviewed by Accounting for Gross vs. Net decision unless an unmodified accounting template has been used. Any contract or change amendment that is not reviewed by Accounting for Gross vs. Net decision could result in overstatement of revenue and signing.

3. Signing recognized manually.
Signing should be recognized when it is registered on the contract management system (CFTS/SAP) to avoid/minimize errors. This acts as a control point where signings are registered on CFTS/SAP when they are supported by evidence of a countersigned contract, an approved final pricing case and pricing releases, and Signing Form completed by Finance & Planning. However, Signing Interface Tool (SIT) or equivalent could be used to manually recognize signing over quarter end and year end and bypass the control put in place. Therefore, verify that signing loaded via SIT or equivalent are justified and reviewed by management.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Signings Recognition and Backlog Estimation

Primary Test: Signings Recognition and Backlog Estimation (SR001.P)

(Continued)

4. Contract renegotiation.

Where contracts are renegotiated, only incremental TCV should be recognized as a signing. Look out for situations where a renegotiated contract is registered on CFTS/SAP under a new contract number as this could result in an overstatement of signing. The re-negotiated contract may be registered on CFTS/SAP as a brand-new contract i.e., new contract number altogether. This would result in the full TCV being recognized as a signing. In order not to overstate the signing, the TCV of the old contract should be reduced on CFTS/SAP at the same time to show zero backlog so that it offsets the TCV recognized under the new contract number. Verify that this occurs. Also, ensure that the automatic backlog adjustment against the old contract is eliminated.

5. Contract termination, cancellation or terminated ahead of schedule.

Verify that signing reversal had been processed promptly where cancellation or termination occurred within two quarters of signing.

Look for contracts with duration less than 180 days, whose revenue booking had ceased, yet remained as active contract on CFTS/SAP. For these contracts, establish whether the contract is completed with residual TCV (i.e., the portion of the TCV that did not materialize). If yes, signing reversal should have been processed promptly.

Note that if the TCV is not adjusted/reduced on CFTS/SAP promptly within two quarters of signing, any residual TCV would become a backlog adjustment.

Establish whether there is a regular review by management of all contracts without financial activities (revenue, cost, expense) for 180 days or more.

6. Termination Fee.

Look for contracts that terminated in the year. Ensure that the termination fee is netted against the backlog first, and only the surplus is recognized as revenue.

7. Framework Agreement and Rate Card agreement.

Verify the contract language to ensure that there was customer commitment. This means that the agreement must specify volumes, price and term. If any of this element is missing, there is no signing. In a number of framework agreements, prices are usually agreed up front, but the volume is not specified in the agreement, therefore, are not signing. Ensure that the signing was valid for framework agreement and rate card agreement.

Backlog Estimation

Based on the status of the contract, determine the estimated backlog for the contract. Essentially estimated backlog is equal to signing less recognized revenue plus / less any backlog adjustments. Compare the value determined with the value contained in the quarterly Geo CFO certified Backlog number (request supporting documentation). The values should be the same. As previously mentioned, defects should only be reported for those cases where the resulting variance is greater than \$10M or 5% (whichever is lower) of the contract backlog being audited.

Develop an understanding of the life and length of contract, what has been delivered, and what has been changed to come up with an appropriate backlog estimation. Backlog estimation should not include new business opportunities.

Phase IV is an acceptable means of determining estimated backlog after adjusting Phase IV output to be comparable to the WW Guidance for Signings Recognition and Backlog Estimation.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Signings Recognition and Backlog Estimation

Primary Test: Signings Recognition and Backlog Estimation (SR001.P)

(Continued)

Remaining Performance Obligation (RPO)

The new revenue standard requires IBM to disclose in the footnotes to the financial statements the amount of signed contract value allocated to performance obligations that are unsatisfied at the end of the reporting period. RPO is similar to backlog in that it is the aggregate amount of the committed transaction price allocated to performance obligations that are unsatisfied (or partially unsatisfied) at the end of the reporting period. The term “committed” means the client is unable to terminate the contract for convenience or able to terminate the agreement but only upon payment of a substantive penalty.

Note: RPO should only be tested in the relevant North America auditable unit, included here for information only.

Rules for Contract Valuation

(Note: These rules were obtained from the WW Guidance for Signings Recognition and Backlog Estimation Version # 2020.1, July 2020. Prior to conducting the review consult the current version of the WW Guidance for specific examples and additional information.)

The Two Quarter Rule (2Qtr Rule) applies where activities occur that lead to the change of expected revenue in a contract e.g., contract modification, termination, error in signings calculation, etc. These activities are to be recognized as follows:

1. As a signing (positive or negative) and corresponding backlog adjustment if the activity was within two full quarters after the quarter in which the associated signing was recognized, or
2. As backlog adjustment if the activity was more than two full quarters from the quarter in which the associated signing was recognized.

Backlog adjustments, including but not limited to descopes, renegotiations, human error, SLA penalties, concessions, etc., are subject to netting. The quarter in which the signing or backlog adjustment was recognized means the quarter in which the entries were recorded in the Signings and Backlog systems. Signings = Revenue (S=R) cases are not subject to netting due to backlog adjustments.

Netting signings beyond two quarters can still be recognized if Geo CFO judges there are enough documented facts to support the reversal and the necessary approval obtained.

The correct Applicable Currency rate should be used for signings (i.e., same as revenue reporting, the average month I&E rate published by IBM Treasury) and backlog (i.e., end of month B/S rate published by IBM Treasury). For countries where plan rates are available (i.e., fixed currency conversion rates defined by IBM), those are used for internal reporting.

Price x Quantity (PxQ) contracts, a signing may be recognized equal to the full value of the contracted volumes agreed to with the client provided the agreed volumes are based on reasonable expectations. Time and material (T&M) contracts are considered form of PxQ, the TCV should be based on the initial scope, price, and volume assumptions of the contract.

Additional Resource Charges (ARCs) and Reduced Resource Credits (RRCs) are excluded from the initial recognition of a contract's TCV.

Cost of Living Adjustments (COLA) are excluded from the initial recognition of a contract's TCV. COLA can be recorded as an incremental signing for that portion of the remaining contract term for which the adjustment is permanent and cannot be reversed.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Signings Recognition and Backlog Estimation

Primary Test: Signings Recognition and Backlog Estimation (SR001.P)

(Continued)

Gain/Pain Share: the impact of this clause on signing recognition should be recorded (i) in the case of a "gain", as an increase to the applicable signing value for the same amount and in the same period as the revenue is recognized or (ii) in the case of "pain", in accordance with the 2Qtr Rule based on when the obligation is known and can reasonably be estimated.

Service Level Credits and other IBM Payments to the client due to contractually agreed to obligations (e.g., Service Level Agreements) and that result in a revenue reversal should be handled in accordance with the 2Qtr Rule based on the quarter the revenue reduction is recorded in the accounting system.

Gross/Net Considerations:

1. If an IBM Accounting ruling applies a "gross revenue" treatment to the amounts collected under a contract, then the full TCV should be recognized if that contract otherwise satisfies the core elements of a signing. Alternatively, if an Accounting ruling applies a "net revenue" treatment to the amounts collected under a contract, then the TCV to be recognized will be limited to that portion of these amounts that are considered Services revenue.
2. If a subsequent evaluation by IBM Accounting changes the original gross/net ruling for revenue recognition, a corresponding signings or backlog adjustment should be made to the contract in accordance with the 2Qtr Rule, except that resulting backlog adjustments are not subject to netting of future signings.

Contract Termination (in whole or part) ahead of schedule are recorded in accordance with the 2Qtr Rule. Exceptions to this rule require approval of the WW IBM Consulting VP of Finance. The date the negative signing and/or the backlog adjustment is recognized is the date on which either formal notification is received or the Business Unit IOT CFO makes his determination.

Scope Changes: when the scope/price/volume assumptions being signed in a new LoB is the same or similar to the scope/price/volume assumptions already in an existing contract in the same or different Business Unit, only the net incremental TCV should be recognized. When determining if the scope is the same/similar, consideration should be given to whether we are applying a different solution to the original Customer requirement, the existing skill set (e.g., resources) will be used or if applications already under contract will be supported. If so, then the contract should be recorded on a net basis with the existing backlog being transferred and netted against the signing amount.

Manual Entries: also required when there are changes in initial signings & backlog estimation (2Qtr Rule applies) and the adjustments can be Signings only; Backlog only; or Signings and Backlog. Adjustments at main source (i.e., fulfilment systems – CFTS/SAP) are often preferable as enable corrections in upstream system and fix downstream processes altogether. If adjustments at source are not feasible due to limitations, Cobalt and/or SIT adjustment can be done to reflect the accurate figures in SBLIW. Note that Cobalt and SIT DO NOT fix the main source but merely impact SBLIW. Manual entries provide the ability to create contracts, components, signings adjustments and revenue adjustments.

SERVICES CONTRACT SIGNINGS AND BACKLOG REPORTING

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Remaining Performance Obligation (RPO)

Objective:

Was the remaining performance obligation (RPO) calculated correctly and in accordance with the RPO guidance?

Given that we report an estimated backlog, minor backlog variations may occur with an acceptable range of +/- 0.5% between certified backlog and reported backlog. Any delta higher than this, is required to have Geo CFO approval and action plan to reduce the delta and prevent reoccurrence, submitted to the Worldwide SBL Process Owner.

Risk/Exposure:

As IBM's Signings Recognition and Backlog Estimation process is robust, it is considered to meet the RPO criteria. Considering this, the recognized certified backlog is the baseline for RPO reporting. It is critical that the signings recognition and backlog estimation process contain valid contracts that are properly valued in the correct time period. Failure to follow the process could severely impact investor relations.

Scope Guidance:

North America

The RPO responsibilities are owned at the worldwide level as part of Signings Recognition and Backlog Estimation reporting. This scope area may be covered as part of an end-to-end audit of Signings and Backlog in North America. However, it should be considered when RPO was last reviewed, as it does not need to be included in each audit in North America.

All other Geographies

It is not practical to include RPO as a scope item within any other Market / Business Unit audit as it is performed by IBM Consulting at worldwide level only.

SERVICES CONTRACT SIGNINGS AND BACKLOG REPORTING

AUDIT PROGRAM #60-05-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Remaining Performance Obligation (RPO)

Primary Test: Remaining Performance Obligation (RP001.P)

Note: Because of the sensitivity of the data, any findings in this area should be considered strictly IBM confidential

Objective:

Determine if the contract was properly disclosed in the remaining performance obligation process.

Approach:

Remaining Performance Obligation (RPO)

The new revenue standard requires IBM to disclose in the footnotes to the financial statements the amount of signed contract value allocated to performance obligations that are unsatisfied at the end of the reporting period. RPO is similar to backlog in that it is the aggregate amount of the committed transaction price allocated to performance obligations that are unsatisfied (or partially unsatisfied) at the end of the reporting period. The term “committed” means the client is unable to terminate the contract for convenience or able to terminate the agreement but only upon payment of a substantive penalty.

The core principle for RPO disclosure is recognition of revenue to depict the transfer of promised goods or service to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services.

In order to achieve the core principle for RPO, the following core elements are applied:

1. identification of the contract with the client,
2. identification of the performance obligations (promises) in the contract,
3. determination of the transaction price,
4. allocation of the transaction price to the performance obligations in the contract, and
5. recognition of revenue when (or as) the reporting organization satisfies a performance obligation.

The RPO fundamentals to verify during the testing are that:

1. a contract exists that is signed; identifies the rights of the parties including payment terms; the transaction has commercial substance, and consideration is probable of collection,
2. a contract duration exceeds one year, and
3. a contract is not an exclusion, that is, a government contract with a client that has regulations which enables them to terminate for convenience without penalty at any time; cancellable contracts with no penalty or a non-substantive penalty; a client which is financially distressed; arrangements that do not meet definition of a contract such as framework agreement; or other brand exclusions as defined by the WW Brand Finance Executive.